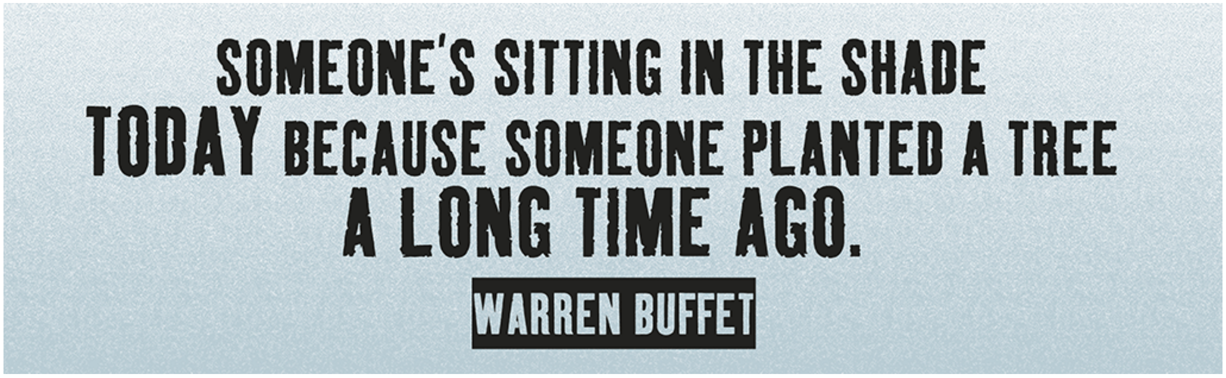

Losing interest

The longer you keep your money in an account, the more it will grow—and if you add to it by paying in more from time to time, it will grow faster. Banks offer the best interest rates if you agree not to withdraw your money for a period of time, say five or 10 years. While this means you'll end up with a larger lump sum at the end of the period, it also means the money isn't available for emergencies, or that you'll have to pay a penalty to access it before the end of the term. But it does also mean that you are less likely to be tempted to dip into your savings unless absolutely necessary.

BUYING TO INVEST

Most of the time, we buy the things that we need or want, and any money we have left over is put into savings. But some people use this money to buy things that they believe will increase in value, investments such as houses, gold and jewelry, works of art, or even fine wines.

The first piggy banks, pots in the shape of a pig to save coins in, were made in Java, Indonesia, in the 14th century.